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POLICY NUMBER: FP-OPSFIN-142

Accounts Payable Prepayments & Accruals

This policy provides guidelines for calculating and recording accounts payable prepayments and accruals.

POLICY STATEMENT

The expense for all goods received and services rendered in the month must be recorded irrespective of when the invoice is received.

APPLICABILITY

All Owned & Operated Hotels (including Shared Service Centers supporting these hotels).

EXCLUSIONS/EXCEPTIONS

No exclusions.

A. PREPAID EXPENSE GUIDELINES

- 1) Prepaid expenses are prepayments for a benefit which will arise in the future. The benefit is to be consumed within a 12-month period. For prepayments over 12 months these are to be accounted for as Other Assets & Deferred Charges. Small amounts should be expensed rather than amortized to avoid unnecessary accounting.
- 2) Prepaid expenses are to be charged over the life that the benefit exists. This will be dependent on the nature of the expense, some examples of this are listed below:
 - a. Insurance - charged over policy term
 - b. Licenses & Permits - charged over term of license/permit
 - c. Maintenance contract - charged over term of the contract
 - d. Dues/Subscriptions - charged over membership period
 - e. Rent - charged over period to which rent applies
 - f. Marketing and advertising costs – charged over related period
- 3) A prepaid schedule must be maintained, which records all the hotel's prepayments. As a minimum this schedule must contain the following and be reconciled to the General Ledger monthly:
 - a. Description of expense and applicable general ledger code
 - b. Supplier
 - c. Total amount
 - d. Period which the expense is to be charged over
 - e. Monthly amount charged to the P&L
 - f. Remaining prepaid balance

B. ACCOUNTS PAYABLE ACCRUAL GUIDELINES

- 1) Hotel accounting is required to be prepared on an accrual basis only.
- 2) As part of the month-end closing process, the Finance Leader must ensure that the expense for all goods and services that are received during the month is accurately recorded, even if no invoice is received prior to the closing of the period.
- 3) If the Hotel is an Owned, Leased, or Joint Venture property, the Hotel must consider capital invoices for which work is complete and the invoice is not yet received.
- 4) All accruals posted at the end of the month are required to be reversed at the opening of the next month. Each month's accrual must start over and invoices received should not be coded against the accrual liability.
- 5) Each hotel must create a standard monthly accrual checklist. This checklist should contain the common accruals which are made each month. This checklist may be incorporated into the checklist of standard journals (refer to FP-OPSFIN-101 Journal Entries).
- 6) Prior to month-end, the Finance Leader must communicate with all Department Heads and obtain supporting documentation for any expense items, goods received, and services rendered in the month.

ACCOUNTS PAYABLE PREPAYMENTS & ACCRUALS

- 7) At month-end, the Finance Leader (or designee) must review all open purchase orders (i.e., from the beginning of time) to establish if the goods or services were received. As part of this process, any old open purchase orders are required to be investigated and appropriate action taken.
- 8) The "Goods Received Without Invoice" report (or equivalent) must be reviewed by the Finance Leader (or designee) as is evidenced by adding any comments, signing, dating and retaining as support for the monthly accrual journal entry.

Utility Accruals:

Utility meters must be read on a monthly basis, and these readings are to be used to calculate the accrual. If meter readings are not available, the alternative method is a per day average cost based on the historical bill.

DEFINITIONS

TERM/ACRONYM	DEFINITION
Finance Leader	Ranking Accounting / Finance representative for the property (i.e., DOF, Controller, or Finance Manager).
Operations Leader	Ranking Operations representative for the property (i.e., General Manager, Hotel Director, or Operations Manager).